

AS BUSINESS - DAY 13

Business consolidation

A mixed case and longer judgement

YOUR AIM TODAY

Combine marketing, operations, people and finance in one decision.

YOUR RULE

Read the notes twice. Use exact case facts. Every explanation must contain a because link and a therefore business impact. Keep page 4 closed.

Student: Rohan

Start time: _____ Finish time: _____

Date: _____

Knowledge and method

Strong Business answers select relevant ideas, apply exact facts and develop consequences.

- Knowledge names and explains the business idea.
- Application uses an exact case fact.
- Analysis builds a because-therefore chain.
- Evaluation judges using objectives, time, risk and conditions.
- A conclusion must answer the question, not merely repeat both sides.

MINI CASE

StudyHub has 2,000 paying students at PKR 1,200 monthly. Capacity is 2,200. Complaints rose after staff turnover reached 25%. A school offers 1,000 new users at PKR 800 each. New servers cost PKR 500,000 and training costs PKR 200,000. StudyHub has PKR 300,000 cash and can borrow the rest at 16%.

WORKED CHAIN

The school contract adds PKR 800,000 monthly revenue, but users would exceed current capacity by 800. Without servers and training, service quality and complaints may worsen, risking existing customers.

Knowledge, application and analysis

Use the mini case in Questions 3-6.

Question	Your answer
1. Calculate current monthly revenue.	
2. Calculate contract monthly revenue.	
3. Identify two operational problems.	
4. Explain one benefit of accepting the contract.	
5. Explain one risk of loan finance.	
6. Recommend whether StudyHub should accept, with conditions.	

QUALITY CHECK

Circle every case fact. Underline every because link. Box every business impact.

Models and correction log

Wording may differ, but the knowledge and chains must be accurate.

Q	Answer / model points
1	2,000 x 1,200=PKR 2,400,000.
2	1,000 x 800=PKR 800,000.
3	Capacity would be exceeded; complaints and 25% turnover suggest service and staffing weakness.
4	Revenue and scale increase, and a school contract may strengthen reputation, provided capacity supports users.
5	At 16%, interest and repayments reduce cash flow; StudyHub already has only PKR 300,000 against PKR 700,000 investment.
6	Accept only if the school commits long enough to recover investment and StudyHub installs servers and trains/retains staff before launch; otherwise quality risk may damage 2,000 higher-paying users.

Q	Missing layer	My improved sentence

SEND FOR MARKING

Send pages 3 and 4. Ask for a level, missing chains, and a rewritten model for the weakest response.